

Oracle is in the process of acquiring another tech giant—Sun Microsystems. This merger will create an entity that will be much bigger and will probably ensure more fair competition in an industry hitherto dominated by either Microsoft or IBM. Oracle will also become the world's biggest open source company. This could make it most suitable for customers, as it will now have a stake in almost every possible field of the tech industry. The deal is sure to force all the major players to re-work their strategies. From the developer's point of view, since Oracle will now own a lot of premium Free Software products, what will happen to core technologies like OOo, MySQL, OpenSolaris and many others? Will Oracle's new solutions stack dent the Microsoft office suite fortress? Will Oracle's hardware partners like Dell and HP become competitors and align with Microsoft? This Oracle-Sun deal is like a galactic collision that promises to shake up the global tech industry.

Read on for the expert opinions on this mega acquisition, and the various scenarios that could emerge from it in the near future.

A little more than a year ago, when Sun acquired MySQL for US\$1 billion, no one would have thought that one of the biggest and the most innovative companies would itself be bought out within a year. Things did not build up in just those 12 months. Sun had not been doing too well since the dotcom burst. The company kept operating due to its deep pockets, which were being drained steadily due to recurring losses. But then came a time when this could not continue. The company started looking for suitors.

"I have known for quite some time that Sun's position was unsustainable and untenable. Somebody was going to buy them. The fact that none of the companies I could imagine buying Sun would find Sun a particularly good fit, did not trump the fact that Sun's shrinking revenues and relevance meant that the sooner they sold out the better. When the deal was announced, the acquiring company might have been a surprise, but the fact of the acquisition was inevitable," says Michael Tiemann, co-founder of Cygnus Solutions, a company founded in 1989 to provide commercial support for free software that was later merged with Red Hat in 1999.

"Oracle as the acquirer was unexpected though. There were a lot of different feelings about the acquisition. Overall it did not thrill anybody. It was a cold calculating move from Oracle that did not add much to the industry as a whole. If IBM had been the acquirer, people would have been less surprised, but an IBM acquisition would not have been exciting news too," notes Laurent Lachal, director, open source research, Ovum, a software and IT services consulting firm.

But how different would it have been had IBM acquired Sun? "IBM has a systems and services culture that is a better fit for selling systems, while Oracle is strictly a software culture based strongly on the sale of software licences and maintenance services. I would personally be surprised if Oracle keeps the Sun hardware business," says Tony Wasserman, director, software

management program, Carnegie Mellon University. Tiemann echoes this sentiment, "It is impossible to say for sure [what would have happened if IBM instead of Oracle had acquired Sun], but I think that IBM has demonstrated a number of strengths where Sun was weak, and vice versa. So it would have been a more logical and complementary marriage."

"From the Linux Foundation's view, either Oracle or IBM represented positive outcomes for Linux. Both these companies have robust pan-organisational Linux initiatives," noted Jim Zemlin, executive director, Linux Foundation.

Since the IBM-Sun deal did not materialise, this is now an irrelevant point. Oracle has changed the game, and now, there is an equally-matched heavyweight that can compete with IBM in almost all the market segments where the Big Blue dominates. Well, competition and choice are ultimately beneficial from the viewpoint of the customer, who's more interested in the free market dynamics.

On the other hand, HP may be a bit worried, as it will now have to deal with Oracle as a partner for database businesses, as well as a competitor in the hardware and operating system space.

The hardware game

The core factor of this deal is: while Oracle is a software company, Sun was primarily a hardware company. Hardware is a low-margin business, whereas Oracle's turf till now has only been the fat-margin software business. There are speculations that Oracle will sell off Sun's hardware business, which will accomplish two things for Oracle: end the worries of its OEM partners, and get rid of the investment-hungry and R&D-intensive hardware business. But Sun's balance sheets show that it was the hardware business that was making money for the company. In the first quarter of 2009, Sun reported an 83 per cent year-on-year billings growth in its Solaris-based units. Sun reported a 12 per cent year-over-year revenue growth in the emerging markets region,